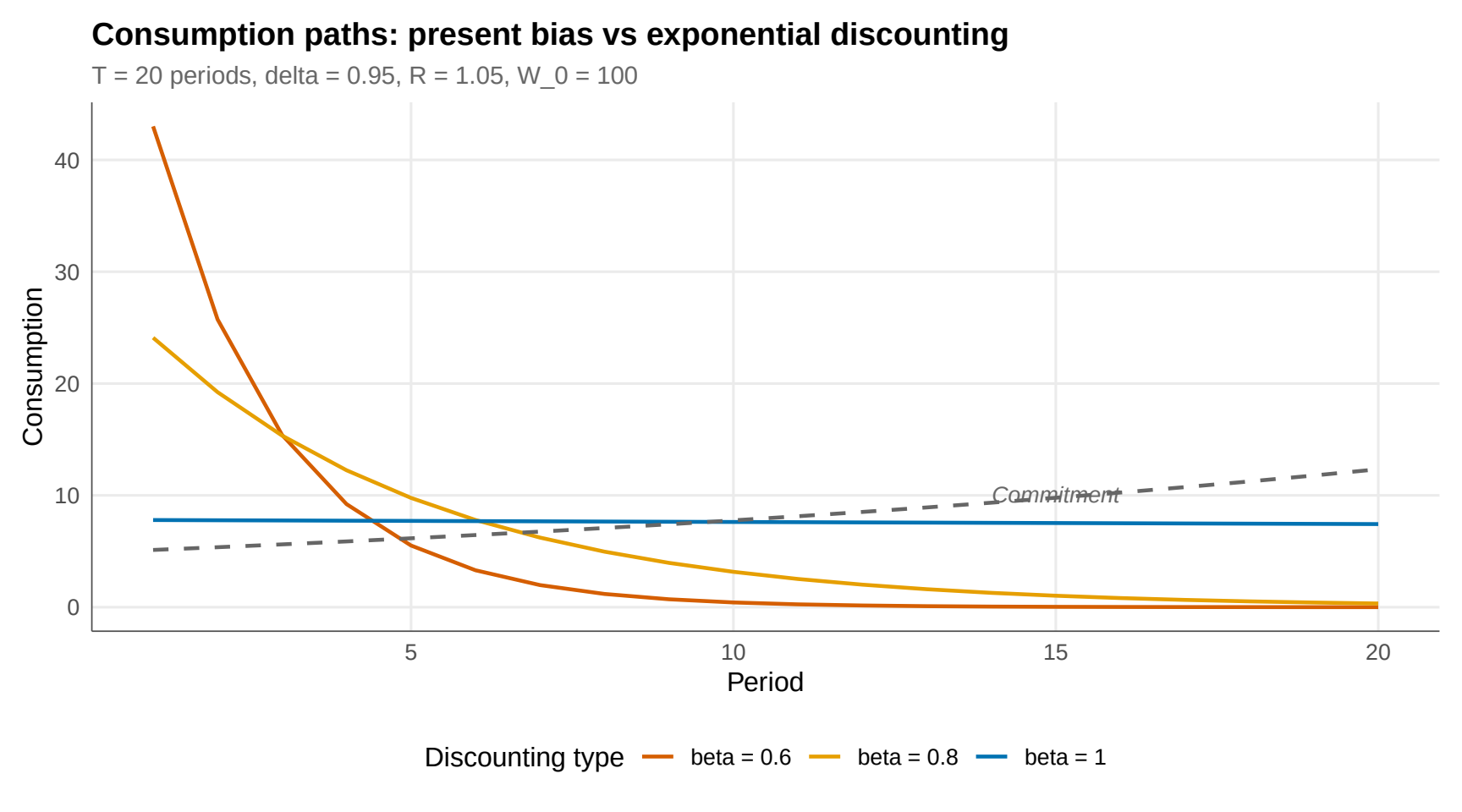
Consumption paths: present bias vs exponential discounting
T = 20 periods, delta = 0.95, R = 1.05, W_0 = 100
Consumption
40
30
20
10
0
5
10
15
20
Period
Commitment
Discounting type
beta = 0.6
beta = 0.8
beta = 1